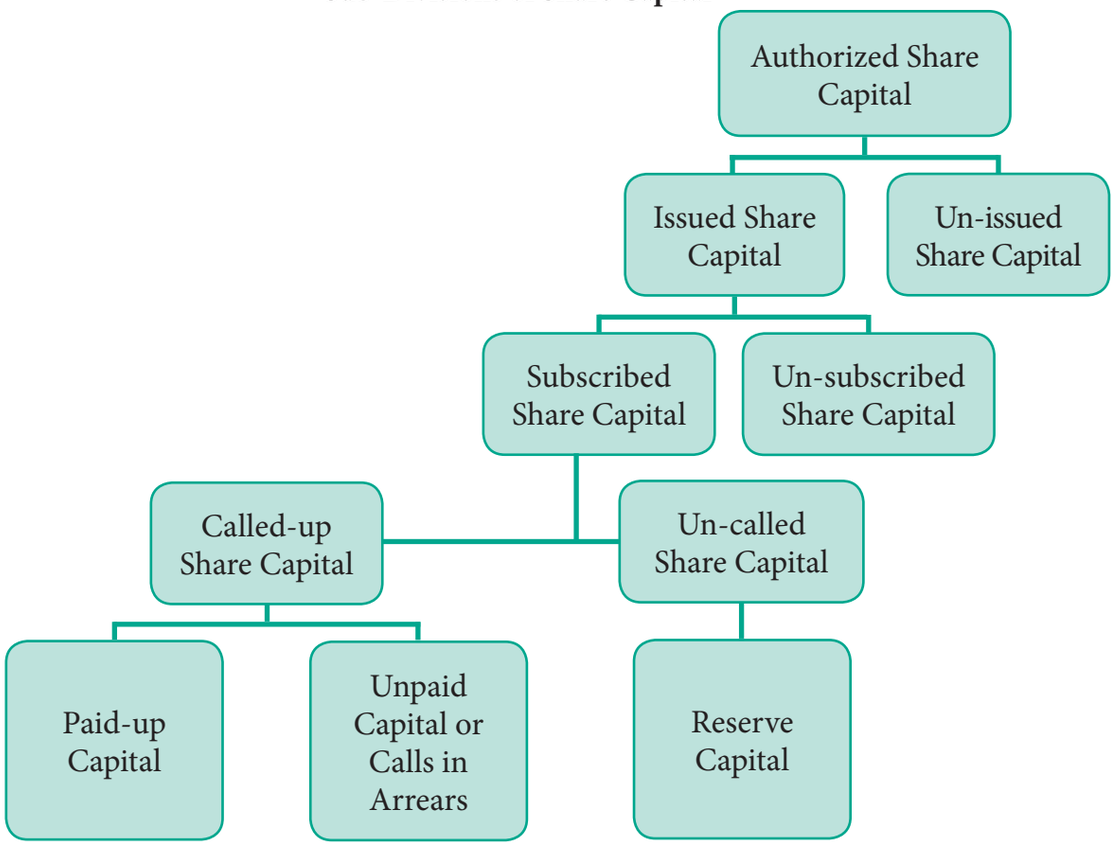
Sub-Divisions of Share Capital



is known as "calls in arrears" or "un-paid capital".

- **Reserve Capital:** A company can reserve part of its un-called capital and will be called only at the time of winding up. A special resolution has to be passed for this purpose. It is not disclosed in the company's balance sheet.

Auditor's Duty in Verification of Share Capital

The auditor's role in verifying the Share Capital is listed below:

1. **Verify Memorandum of Association and Register of Members:** In case of first audit, the auditor should check the Memorandum of Association, list of share holders and register of members for verification of share capital.
2. **Vouch Entries:** He should examine the pass book, cash book, and Minute book of directors in order to find out the number of shares issued, different types of shares issued and the amount received on each shares.
3. **Compliance with the Provisions of Companies Act:** In case of subsequent audits, the auditor should ensure that the share capital balance is the same as at the end of last year. If he finds that the capital stands altered by fresh issue of shares, the auditor should ensure that relevant provisions of the Companies Act have been complied with.
4. **Disclosure in Balance Sheet:** He should ensure that 'authorised capital' and each class of issued and subscribed capital has been shown separately in the Balance Sheet.
5. **Examine Rights of Shareholders:** He should examine the rights attached

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